



ARBA MINCH UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT

Exam Information

Target Group: 4th Year Management Students

Course Title: Pre-Exit Exam

Time Allowed: 3:30 Hr.

Total Marks: 100%

Exam Date: 15/09/2015 E.C.

Personal Information

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ID No: SCRP 1203/12

Section: R

General Instructions:

- ⬇ Cell phone is not allowed in the exam hall
- ⬇ Check that your booklet contains 100 questions
- ⬇ Write your Name & ID number clearly on both question and answer sheet
- ⬇ Answer all questions on the answer sheet provided only
- ⬇ Use CAPITAL letters only when writing answers

Approval of Exam, Grade and Curriculum Review Committee

	Name	Sig.	Date
1.	Jaldada Kapa		15/09/15
2.	Esubalen K.		15-09-2015

Instruction: Choose the best answer from the given alternatives and write your answer on the separate answer sheet provided

1. Which of following statement justifies understanding of Principles of Management helps in taking scientific decisions
 - A. Adherence to these principles and add to knowledge and understanding of managerial situations.
 - B. Principles emphasis logic rather than blind faith.
 - C. Principles of management are at the core of the management theory
 - D. Principles are guidelines that can be modified as per the changing environment
2. Which organization structure should expect that more problems will be solved at lower levels and that top managers will have more time free to engage in strategic thinking.
 - A. Geographical
 - B. Matrix
 - C. Functional
 - D. Product
3. Mr. Daniel is employed at a bank in the private sector. His primary duties include developing the bank's overall organizational goals and strategies. What level of management is he now employed at?
 - A. Top Level
 - B. Middle Level
 - C. Lower Level
 - D. Supervisory Level
4. Which managerial function involves managing the organizational structure through proper and effective selection, appraisal and development of personnel to fill the roles designed into the structure.
 - A. Planning
 - B. Organizing
 - C. Directing
 - D. Staffing
5. Commercial Bank of Ethiopia provides financial services to clients. The Bank has a policy of providing performance-based incentives to its employees, based on the amount of revenue they generate. However, the Bank's HR department has not updated the incentive structure for several years, and the incentives are now much lower than the industry standards. As a result, many of the top-performing employees are leaving the company to join competitors who offer higher incentives. Which principle of management is being violated in the given scenario?
 - A. Unity of command
 - B. Division of work
 - C. Equity
 - D. Remuneration

6. As the general manager of a company, you maintain good interpersonal relations with your followers and also motivates them to contribute for achieving organizational goals. Identify the concept being described in the above lines.
- A. Supervision
 - B. Communication
 - C. Determination
 - D. Leadership
7. When call center managers spend much of their time monitoring customer calls and giving employees feedback about how to improve their dialogue with customers in the future, these managers are using which of the following skills?
- A. Technical
 - B. Conceptual
 - C. Situational
 - D. Ethical
8. When you are monitoring the work performance of workers in your department to determine if the quality of their work is 'up to standard', which management functions you are engaging?
- A. Planning
 - B. Controlling
 - C. Organising
 - D. Leading
9. Which of the following is **not** one of the situational factors thought to influence the relationship between leader behaviours and subordinate motivation to perform in the path-goal theory?
- A. Preferences of the leader
 - B. Subordinate locus of control
 - C. Characteristics of the work group
 - D. Task structure
10. What is the meaning of market research?
- A. The process of developing a product or service
 - B. The practice of promoting a product or service
 - C. The systematic gathering and analysis of data related to customer behaviours
 - D. A method for understanding customers' needs and wants
11. Which of the following involves activities that encourage potential customers to purchase a product or service?
- A. Product
 - B. Price
 - C. Promotion
 - D. Place
12. What is the main goal of brand positioning?
- A. To increase market share
 - B. To reduce costs associated with customer acquisition
 - C. To differentiate a product or service from its competitors
 - D. To increase profit margins

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13. Which of the following alternative is not a key element of market branding?
- A. Brand name
 - B. Logo
 - C. Social media platforms
 - D. Slogan/tagline
14. Which statement is not true about the marketer's action?
- A. The company must provide greater customer value and satisfaction than its competitors do.
 - B. A single competitive marketing strategy is recommended to take advantage of all competitors.
 - C. Marketers must do more than simply adapt to the needs of target consumers.
 - D. They must also gain a strategic advantage by positioning their offerings strongly against competitors.
15. Which of the following stages in the buyer decision-making process involves evaluating alternatives and choosing the best option?
- A. Need recognition
 - B. Information search
 - C. Evaluation of alternatives
 - D. Purchase decision
16. There are a number of left-handed people in Ethiopia, and products are targeted toward this left-handed segment. The major problem identified is that it is hard to determine the number of left-handed people. What makes this market segment ineffective?
- A. The market is less accessibility
 - B. The profit margin is not substantial.
 - C. The segment strategy is not defined.
 - D. The segment size is not measurable.
17. Which product level will be given relative priority if a marketer is trying to produce a new product for the first time and is only able to include one product level?
- A. Augmented product level
 - B. Actual product level
 - C. Core product level
 - D. None
18. One of the political risks that international businesses faced by losing their entire property without even getting any compensation is called;
- A. Expropriation
 - B. Confiscation
 - C. Domestication
 - D. A & B
19. From the following entry strategies, one is simple and useful to easily get awareness about international market;
- A. Turnkey contract
 - B. Foreign direct investment
 - C. Exporting
 - D. Joint venture

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20. One of the following is **not** the cruciality of international marketing in managing global competition and business globalization?
- A. Understanding variety of global market entry strategies
 - B. Getting broader market opportunity
 - C. To escape from scarce domestic competition
 - D. Understanding the influence of globalization on the domestic market
21. International trade theory that emphasizes on the consideration of relative cost disadvantage to undertake trade between two countries is;
- A. Comparative advantage
 - B. Factor endowment
 - C. Absolute advantage
 - D. Country similarity
22. In international product strategy if the firm develop and supply standardized product, it inclines to;
- A. Polycentric approach
 - B. Ethnocentric approach
 - C. Geocentric approach
 - D. Regiocentric approach
23. One of the following promotional strategies can be achieved through sponsoring events and contributing on philanthropic activities
- A. Sales promotion
 - B. Public relation
 - C. Advertisement
 - D. Personal selling
24. Involvement of intermediaries in international distribution is considered as
- A. Direct distribution
 - B. Door-to-door distribution
 - C. Indirect distribution
 - D. On spot distribution
25. One of the following is not the importance of job analysis.
- A. It provides a complete knowledge about job.
 - B. It serves as a ground to design training content
 - C. It serves as performance standard
 - D. None
26. Among the following identify **true** statement about both recruitment and selection
- A. Recruitment needs a more thorough examination of candidates where recruiters aim to learn every minute detail about each candidate than selection.
 - B. Recruitment process needs more time and finance than selection activities
 - C. Recruitment is a negative process but selection is a positive process
 - D. Selection process is only completed when a job offer is created and given to the selected candidate by an appointment letter.

27. Which one is critical resource of the organization?
- A. Human resource
 - B. Financial resource
 - C. information resource
 - D. physical resource
28. A bias, associated with performance appraisal that occurs when an interviewer positively judges an applicant's entire potential for job performance on the basis of a single trait, such as how the applicant dresses or talks.
- A. Leniency
 - B. Halo effect
 - C. Unstructured
 - D. Horn effect
29. A training method that focuses on imparting job education training to skilled personnel or those workers who need to deal with machinery and equipment of the company in a location other than the primary manufacturing plant is,
- A. Off-the-Job Training
 - B. Apprenticeship Training
 - C. On-the-Job Training
 - D. Vestibule training
30. A performance appraisal method that uses a top-down flow of organizational goals, which are translated into individual goals for the employees. Then at the end of the given period, the managers assess individual goals attained based on the employees' job descriptions is
- A. Management By Objective
 - B. Multi-rater Assessment method
 - C. Narrative method
 - D. Checklist Method
31. All of the following statements are true, **except**
- A. Horizontal promotions are those under which employees **may be promoted to higher ranks in other departments as well.**
 - B. A transfer involves a change in the job (accompanied by a change in the place of the job) of an employee without a change in responsibilities or remuneration.
 - C. Retrenchment is the termination of the services of an employee permanently due employee discipline.
 - D. A transfer involves a change in the job (accompanied by a change in the place of the job) of an employee without a change in responsibilities or remuneration.
32. A structured recruitment method that companies and organizations use to find talented people by asking their existing workers to recommend candidates from their existing networks is
- A. Walk-ins
 - B. Employee referrals
 - C. College Recruitment
 - D. Third-party method
33. _____ is the condition in which all individuals has an equal chance for employment.
- A. Equal compensation opportunity
 - B. Equal employment opportunity
 - C. Equal promotion opportunity
 - D. Equal training opportunity

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34. Which statement is false?

- A. Labour union is an organization of employers whose purpose is to protect and maintain the interests of employees of an organization.
- B. Employees are much more likely to join a union if they perceive that they have little or no influence on important matters at work individually.
- C. In integrative bargaining both the employer and the union try to resolve the conflict to the benefit of both parties.
- D. Rather than an end by itself, discipline should be viewed as a learning opportunity for the employees and as a device to improve productivity and human relations.

35. _____ refers drawing a general impression about an individual on the basis of a single characteristic.

- A. Stereotyping
- B. Recency effect
- C. Contrast Effects
- D. Halo effect

36. Which one of the following is false about perception?

- A. It is the process through which people receive, organize, and interpret information from their environment.
- B. It is a process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.
- C. It represents the psychological process whereby people take information from the environment and make sense of their world.
- D. The perceptions or responses of any two people are always identical, even when they are describing the same event.

37. According to two factors theory which one of the following is odd?

- A. Responsibility
- B. Achievement
- C. Recognition
- D. Company Policy

38. Which one of the following is true about group structure?

- A. As the number of group members' increase, they will be effective in action taking tasks.
- B. Diversity is one variable in group structure.
- C. Role is unnecessary to perform group task.
- D. None

39. Which one of the following is a true about functional outcome of conflict?

- A. It reduces in group cohesiveness
- B. It increases employee turnover and decrease employee satisfaction
- C. it stimulates creativity and innovation
- D. It leads to hostility and aggression development

40. The study of stress is important for the following reason except:

- A. Stress is a major cause of employee absenteeism
- B. It increases cost of organizations
- C. It excels employee turnover of the organization
- D. None

41. Which one is **false** about culture?

- A. It hinders intra- group communication
- B. culture is constantly changing
- C. Culture is subjective
- D. It is socially shared

42. Which of the following is **not true** about managers and leaders?

- A. Managers manage change while leaders create change
- B. Managers focus on control while leaders focus on commitment
- C. Problems are problems for leaders while opportunity for managers
- D. Managers focus on result whereas leaders focus on achievement

43. From the leadership style which one makes a leader to uses his power very little giving subordinate full freedom of action and independence for setting their goals and means of achieving them?

- A. Bureaucratic leadership
- B. Participative leadership
- C. Autocratic leadership
- D. Free-rein Leadership

44. Which quality of good leader implies emotions and crises come and go and take these as part of the journey and keep a cool head?

- A. Exemplary character
- B. Confident person
- C. Tolerant of ambiguity
- D. Committed to excellence

45. The followings are a good time to use autocratic leadership style **except**;

- A. Short-term, complex, technical, or urgent projects
- B. Employees lack creativity skill and knowledge
- C. Low-skilled positions with monotonous tasks
- D. Staff wants an element of spontaneity in its work

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46. Resistance to change can be handled by using....?
- A. Participation
 - B. Negotiation
 - C. Coercion
 - D. All
47. Under which transitions of conflict view where a conflict was considered to be bad and viewed negatively?
- A. Traditional view ✓
 - B. Human relations
 - C. Behavioural view
 - D. Modern view
48. Among the one is **wrong** about the implications of Kurt Lewin's change process model?
- A. Change can be directed, managed and controlled
 - B. Explicit recognition that changes will be resisted
 - C. The resistance can be overcome through management
 - D. All of the above
49. Which conflict resolution strategy involves identification of areas of disagreement, examining the issue in greater detail and a workable solution arrived at which is for mutual benefit?
- A. Compromising
 - B. Accommodating
 - C. Collaborating
 - D. Competing
50. Which one of the following is **not true** about the conflict?
- A. It's an inevitable and unavoidable
 - B. It has totally dysfunctional outcomes ✓
 - C. It's an outcome of human behaviours
 - D. It's an integral part of human life
51. Which one of the following is **not true** about entrepreneur and entrepreneurship?
- A. Entrepreneurs are a person who believes on that there is always room for improvements or new ways of doing things.
 - B. Entrepreneurship doesn't exist without improvements at list in one scenario.
 - C. Entrepreneurs' quality cannot be adopted or transferred to others through learnings.
 - D. Entrepreneurs are driven by a need to achieve more and more. ✓
52. Which of the following forms of business organization has limited liability to his members:
- A. Partnership
 - B. Corporation ✓
 - C. Sole proprietorship - *unlimited liability*
 - D. Limited proprietorship

53. Which one of the following is true about personality traits of entrepreneurship?
- A. Successful entrepreneurs are the one who need independence from the control of other and they also prefer to work alone.
 - B. For entrepreneur it is not about the means it is about the outcome. In this case they care more about to the end than the means.
 - C. The central theme of entrepreneurs is their unsatisfied demand for efficiency and quality.
 - D. Entrepreneurs love their family just like their business. Due to this while they face difficult situation between this, they give priority for their family than jobs.
54. Which intellectual property protection is provides the owner with exclusive rights to hold, transfer, and license the production and sale of a product/process?
- A. Trade mark
 - B. Patent
 - C. Copy right
 - D. proclamation
55. Which one of the following is **not important** information that has to be addressed in business plan document?
- A. Business related story of the promoter or entrepreneur.
 - B. Profit distribution strategy while the business generates net income.
 - C. Sample of the business in picture, diagram or prototype of the product.
 - D. The background of promoters like age, gender, religion, ethnicity, and the like.
56. Assume WestPoint Electronics Company is planning to make a price discount on refrigerator, washing machine and freezers for Ethiopian Christmas Gena start from January 1st - February 4th. Which promotional strategy is used?
- A. Advertising
 - B. Personal selling
 - C. Sales promotion
 - D. Public relation
57. Which of the following is **true** about small business?
- A. Small businesses are creating new jobs even as large businesses continue eliminating employee jobs.
 - B. Small business could be entrepreneurial venture, and all entrepreneurial venture are small business.
 - C. Small business contribution is significant in centralization of economic powers.
 - D. The startup of most entrepreneurs' business highly associated with big business.

58. Nowadays Ethiopian government is raising fund from the large pool of individuals or general public primarily online via social media for those who are affected by the war. This type of fund raising is ____?
- A. Equity based crowd funding
 - B. Donation based crowd funding
 - C. Reward based crowd funding
 - D. Begging
59. which of the following is **not true** about Igor Ansoff product/market matrix to illustrate the inherent risks in four generic growth strategies.
- A. Market penetration is further exploitation of the products without necessarily changing the product or the outlook of the product.
 - B. Product development strategy is introduction of a new or modified product in an existing market.
 - C. Diversification is selling new products to new markets at the same time.
 - D. Product development strategy deals only about the development of new product not modified one.
60. Information technology is the combination of computer science and ____
- A. telecommunications
 - B. electronics
 - C. digital marketing
 - D. networking
61. Provide ad-hoc, interactive for decision making
- A. Decision support systems
 - B. Management information system
 - C. Management support systems
 - D. Enterprise collaboration systems
62. A set of instructions for a computer
- A. Machines
 - B. Media
 - C. Program
 - D. Software resources
63. Alemu woke up and went to the ATM to take money. He then went supermarket to buy some products and paid with his debit card. He finished off his day by going to school and registered online for his computer class. Alemu has had multiple contacts with what kind of information systems throughout his day?
- A. Executive Information System
 - B. Management Information System
 - C. Decision support system
 - D. Transaction Processing System ✓

64. Which of the following is NOT an objective of MIS?
- A. Support decision making
 - B. Recruit people for system
 - C. Provide requisite information at each level of management
 - D. Facilitate the decision-making process
65. Which one is NOT internal source of information for MIS,
- A. Customers care department
 - B. HR department
 - C. The company customer
 - D. Marketing department
66. Research is
- A. Working in a scientific way to search for truth of any problem
 - B. Searching continuously and again and again regarding something
 - C. Comparing and analyzing two or more things
 - D. An art and science of searching books, articles and terminologies
67. Which of the following is the first step in starting the **Research** process?
- A. Searching sources of information to locate problem.
 - B. Survey of related literature
 - C. Identification of problem
 - D. Searching for solutions to the problem
68. _____ research seeks to investigate an area that has been under researched with preliminary data that helps shape the direction for future research.
- A. Descriptive
 - B. Exploratory
 - C. Explanatory
 - D. Correlational
69. Qualitative researchers seek to analyze which of the following?
- A. Numerical data derived from the frequency of particular behaviors
 - B. Statistical associations between variables
 - C. The social meaning people attribute to their experiences and circumstances
 - D. Testing hypothesis
70. why do you need to review the existing literature
- A. To give your dissertation a proper academic appearance with lots of references
 - B. Because without it, you could never reach the required word count
 - C. To find out what is already known about your area of interest
 - D. To gain the mark allocated for it in research evaluation

71. _____ are generally information gathered or generated by the researcher for the purposes of the project immediately at hand.
- A. Primary data ✓
 - B. Secondary data
 - C. Tertiary data
 - D. Ready-made data
72. What is a research design?
- A. A way of conducting research that is not grounded in theory.
 - B. The choice between using qualitative or quantitative methods.
 - C. The style in which you present your research findings, e.g. a graph.
 - D. A framework for every stage of the collection and analysis of data.
73. "Income distribution of employees" in a specific organization is an example of which of following type of variable?
- A. Discontinuous variable
 - B. Continuous variable ✓
 - C. Categorical variable
 - D. Nominal variable
74. We wish to test the hypothesis that music improves learning. We compare test scores of students who study to music with those who study in silence. Which of the following is an extraneous variable in this experiment?
- A. The presence or absence of music
 - B. The students' test scores
 - C. The amount of time allowed for the studying
 - D. Silence
75. What type of research would be appropriate in the following situation? A college or university bookshop wants to get some insights into how students feel about the shop's merchandise, prices and service.
- A. Secondary data.
 - B. Qualitative research.
 - C. Focus groups.
 - D. Quantitative research
76. Lottery balls numbered consecutively from one through one hundred are placed in a spinner. If one ball is drawn at random, what is the probability that it will have the number 1 on it exactly once?
- A. $9/100$
 - B. $1/10$
 - C. $11/100$
 - D. $19/100$
77. Off the following measures which one is **not** affected when an extremely low or extremely high value is added to the given set of data.
- A. Arithmetic Mean
 - B. Median
 - C. Range
 - D. Standard Deviation

78. As part of a quality improvement program in banking industry, your company records the length of time every customer spends on hold waiting to place their withdrawal money via M-banking.

- A. Nominal Scale
- B. Ordinal Scale

- C. Interval Scale
- D. Ratio Scale

79. Which one of the following statements is **not true** about the value of central tendency?

- A. Its value is able to represent the whole observation.
- B. Its value is able to show the scatter of the distribution.
- C. Its value is able to summarize the figures in the data set.
- D. Its value is able to applied either for quantitative and qualitative data.

❖ Based on the following data answer below (Q. 80). The table indicated the daily net incomes of ten randomly retailer shops in Arba Minch Town. Where the data is either profit (positive value) or loss (negative value), or else it may be nor profit/loss (Zero value).

X_i (00 birr)	X_1	X_2	X_3	X_4	X_5	X_6	X_7	X_8	X_9	X_{10}
Net Income	-8	0	25	17	-13	300	17	15	0	10

80. The median for the given data set will be;

- A. 10
- B. 15

- C. 12.5
- D. 0

81. Which one of the following choices is **not true**, if we change the value of X_6 (300) to 30 birrs?

- A. The value of the new median is the same as with the original data.
- B. The value of the new mean will decrease in contrast with the original data.
- C. The value of the new standard deviation will decrease in contrast with the original data.
- D. The value of the new range is the same as with the original data.

❖ From question 82 to question 83. Consider a shacked bag contain the letter of word "COMMUNICATION". Each letter in the word is written on separate pieces of paper.

Define Event A = Landing "I" letter

Define Event B = Landing "Vowel" Letter

82. What is the probability of landing A given B, $P(A/B)$?

- A. 0.644
- B. 0.501

- C. 0.741
- D. 0.334

83. Which of the following statements is true about the relationship between Event A and B?

- A. Event A and B are mutual exclusive events
- B. Event A is complemented to event B
- C. Event A and B are dependent Events
- D. Event A and B are collective exhaustive events

84. The Test claim that the average SAT score for graduating high school students at least to be 1100 scores. A random sample of 70 students was selected, and the average SAT score was 1035. Assume $\delta = 310$ and use $\alpha = 0.10$. Compute the value of test statistics and set decision. Hint; The critical value will be -1.285.

- A. 1.75 and reject H_0
- B. 1.75 and do not reject H_0
- C. -1.75 and reject H_0
- D. -1.75 and do not reject H_0

85. Different age groups use different media sources for news. A study on this issue explored the use of cell phones for accessing news. The study reported that 47% of users under age 50 and 15% of users age 50 and over accessed news on their cell phones. Suppose that the survey consisted of 1,000 users under age 50, of whom 470 accessed news on their cell phones, and 891 users age 50 and over, of whom 134 accessed news on their cell phones. Is there evidence of a significant difference in the proportion that accessed the news on their cell phones between users under age 50 and users 50 years and older? (Use $\alpha = 0.05$). Compute the value of test statistics and set decision. Hint; $X^2_{0.05,1} = 3.84146$.

- A. 22.142 and do not reject H_0
- B. 22.142 and reject H_0
- C. 22.142 and do not reject H_0
- D. 22.142 and reject H_0

86. Calculate coefficient of correlation for the following data.

X	1	2	3	4	5	6	7	8	9
Y	9	8	10	12	11	13	14	16	15

- A. 0.95
- B. 0.45
- C. 0.65
- D. 0.75

87. Which of the following is true about decision in hypothesis testing?

- A. Rejecting the true H_0 is Type II error
- B. Rejecting the false H_0 is Type II error
- C. Accepting the true H_0 is Type II error
- D. Accepting the false H_0 is Type II error

88. A survey on academic achievement were given to 50 students randomly selected from the collage of business and economics at Arba Minch university. They provide 3.1 CGPA on average with a standard deviation of 0.4 CGPA. The standard error for this survey is:
- A. 0.056
B. 0.089
C. 1.24
D. 16.13
89. Which of the following is not true about X^2 (chi-square)?
- A. It is a family of distribution for each degree of freedom.
B. It is symmetric to the origin
C. It takes only positive value
D. It is designed to analyse categorical data
90. Which one of the following statements **not wrong** about financial Management
- A. Financial management is concerned with the efficient use of economic resources namely, capital funds
B. Financial management is a managerial activity which is concerned with the planning and controlling of a firm's financial resources
C. Financial management is managerial decisions that result in the financing and acquisition of long-term and short-term credits for the firm
D. Financial management is a discipline which has unique body of knowledge of its own
91. Assume that ABC Company has sales of 1,200,000 and cost of goods sold was 840,000. Assume that sales increases by 30 percent then what is the estimated cost of goods sold?
- A. 360,000
B. 1,560,000
C. 1,092,000
D. None
92. Assume that Gebre borrowed birr 1,000 from the bank and the rate of interest was 5%, then calculate the amount that has to be returned at the end of third year
- A. 150
B. 1,157.62
C. 1,150
D. None
93. Manufacturing company expects to pay a common stock dividend of Br. 3.50 per share during the next 12 months. The firm's current common stock price is Br. 50 per share and the expected dividend growth rate is 8%. A flotation cost of Br. 4 is involved to sale a share of common stock what is the cost of retained earnings.
- A. 12%
B. 15%
C. 7%
D. None

100. Two models of a product (X) and (Y) are produced by a company. A linear programming model is used to determine the production schedule. The formulation is as follows:

Maximize profit : $50X + 60Y$

Subject to: $8X + 10Y \leq 800$ (labor hours)

$X + Y \leq 120$ (total units demanded)

$4X + 5Y \leq 500$ (raw materials)

Let say the optimal solution is $X = 100$ $Y = 0$, How many units of raw materials must be used to produce this number of units?

- A. 500
- B. 800

- C. 100
- D. 400

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